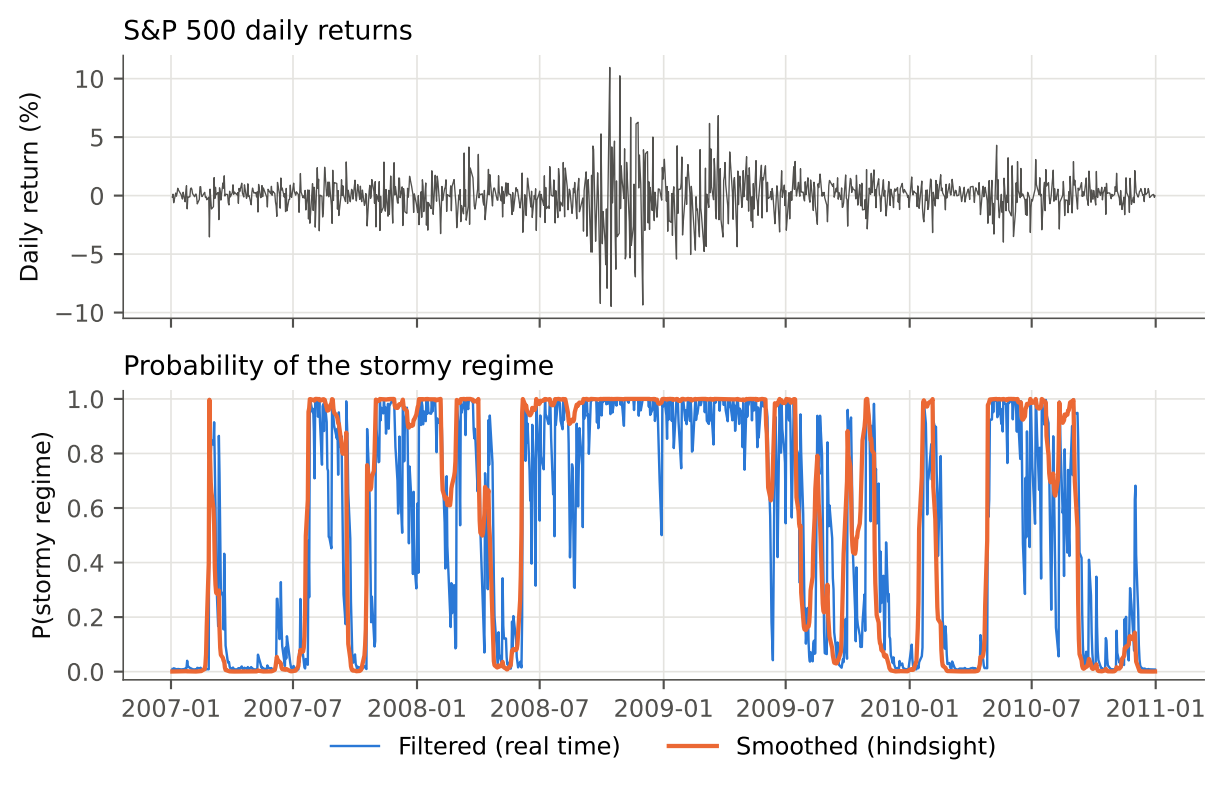
S&P 500 daily returns
Daily return (%)
10
5
0
−5
−10
Probability of the stormy regime
P(stormy regime)
1.0
0.8
0.6
0.4
0.2
0.0
2007-01
2007-07
2008-01
2008-07
2009-01
2009-07
2010-01
2010-07
2011-01
Filtered (real time)
Smoothed (hindsight)